

National University of Computer and Emerging Sciences, Lahore Campus

	Course Name:	Professional Issues in IT	Course Code:	CS449
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	Exam Duration:	60 Minutes	Total Marks:	70
	Paper Date:	24-Feb-2020	Weight	15%
	Section:	ALL	Page(s):	6
	Exam Type:	Mid 1		

Student : Name: _____ **Roll No.** _____ **Section:** _____

Instruction/Notes: Provide precise answers in the given space. Longer answers will be discarded.
Think carefully before writing the answer.

Q1. [20 marks] Fill in the blanks

- Legislature in Pakistan has two chambers _____ and _____.
(Senate and National Assembly)
- Prior decisions from the courts are called _____. (Common Law)
- The law that deals with settling disputes between parties is known as _____. (Civil Law)
- The situation in which there are incentives that might encourage you to take decisions that are not in the best interest of your organization is referred to as _____. (conflict of interest)
- In the bureaucratic organization there is _____ Narrow _____ span of control.
- The bureaucratic organization is suited for _____ Growing organizations / Large organizations _____.
- In the organic model the decision making is _____. (Decentralized)
- One disadvantage of an organic model is _____. (sometimes chain of command is hard to decipher) / Confusion / complexity
- One disadvantage of a bureaucratic model is _____. (non-flexibility to adapt to changes) / boredom / hamper achievement / no freedom for creativity
- A legal person is _____. (an organization that has gone through incorporation)

Q2. [12 marks] While starting a new business you are considering the type of organization you want to set up. Provide two reasons / situations under which selecting the given organization types will make more sense.

Sole Proprietorship:

1. A single person starting a business and do not need or want a partner.
 2. You do not require any organization in your business setup as it is on a small scale.
 3. You do not have need to large attract capital
 4. You do not need to grow beyond small size
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Partnership:

1. Persons (1+) who have agreed to share the profits of a business carried on by all or any of them acting for all
 2. Partners in a company are ready to share the liability for acts of each other.
 3. You want a business in which complementary skills are required that can be provided by other partners
 4. You have the need to gather some capital that can come from family and friends as partner
 5. You do not need to grow beyond medium size
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Limited Liability Company:

1. Ownership of the company is divided into a number (usually large) of shares.
2. In the event that company incurs debts, the owners of the company have no obligation to pay and are not liable however the shareholders are
3. You are planning a business that will grow to medium to large size
4. You will require significant amount of capital to be raised
5. You are looking for limited liability business venture.
6. You want to business to have independent existence separate from owners/shareholders.

Q3. [6 marks] Imagine you have a business idea, for a new software product in Machine Learning, but don't have financial revenues to kick off prototype development. You have contacted a few Business Angels and are ready to present the idea. What are 3 most important items, in your view, that you should prepare the strongest before your meeting. Justify your selection.

1. OPPORTUNITY

- The Problem – You should be able to justify that the problem is real and requires resolution.
 - Your Solution – Your solution is feasible, cost effective, better than a competitor etc.
 - Target market
 - TAM: Your Total Available or Addressable Market
 - SAM: Your Segmented Addressable Market
 - SOM: Your Share Of the Market
 - Key Customers – Who do you think are key customers of your product and why.
 - Competition – If competitors exist, why your product will be better than others. What makes it stand out from the others. What factors will influence customers to buy it.
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2. EXECUTION

- Marketing and Sales – Explain how do you plan to market and sale your product based on target customer segment.
 - Positioning – Be very clear on how to position your product in the market. For example, if the product is a necessity or a basic customer need, what kind of pricing will work.
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3. TEAM

- Investors don't invest in ideas, they invest in people
 - Founders – Justify that founders of the company have the necessary expertise to develop the product and form a company that they can manage.
 - If your team has any Intellectual Property
 - Patents
 - Technology licensed from other providers
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Q4. [6 marks] In context of Organizational Structures, list 3 issues that you think an organization will face if they want to move from a 'Bureaucratic' to 'Organic' Model.

1. Bureaucratic model has a high centralization in terms of authority. However in the Organic model there is decentralization in decision making.
2. Standard Operating Procedure exist in Bureaucratic model, as every department has clear guidelines and rules for their domain of operation.
3. Clear chain of command
4. The company will have to move from high centralization to decentralization. People will not be trained for such a situation that will cause the issue and perception of lack of control and chaos
5. People will have the habit to work according to SOP and will not be ready to work without detailed instructions
6. Job descriptions (requiring additional skills) will have to be revised that can be an issue with the existing resources
7. Ambiguous chain of command will cause confusion.

Q5. [10 marks] List the steps involved in the Legislative Process of Pakistan.

Solution

- Introduction of Bill
- Reference to the concerned Standing Committee
- Consideration in the Standing Committee
- Report of the Standing Committee before House
- Consideration of the bill (First Reading)
- Clause by clause Consideration (Second Reading)
- Passing of Bill (Third Reading)
- Transmission of Bill to Other House
- Same Process shall be followed in the Other House
- If Passed, Bill shall be sent for Presidential Assent

Q6. [8 marks] Describe four reasons why a company might want to takeover another company

Company B takes over company A because

- 1 Company A has Intellectual Property that Company B can benefit from.
- 2 Company B wants to expanding its customer base, adding customers of Company A to its portfolio.
- 3 Company B wants to expand its range of product(s) offerings (horizontal integration)
- 4 Company B wants to eliminate a competitor, buying Company A which is a competitor.
- 5 Company B wants to acquire skilled resources from company A
- 6 Company B want to achieve economy of scale
- 7 Company B wants to do vertical integration (acquiring other players in the supply chain)

Q7. [8 marks]

Suppose a startup is considering the proposal of launching a chain of “drive-through Tandoors” in Lahore. It will also provide an app that will allow the customers to place orders beforehand and just pick the order while they are on their way home. Analyze this business idea by discussing the following components of the business model:

a. Total and Segmented Market

Total market: All residents of Lahore

Segmented market: All residents of Lahore with their own transport. (Students can provide even narrow segment like all office going people with their own transport)

b. Revenue stream(s)

Sales of the products from Tandoor

Advertisements on the Tandoor app

c. Value proposition

Convenience of ordering Tandoor items using app

Picking the Tandoor items [daily on the way back to home] without waiting

Order tracking and notification when it is ready for pickup

Variety of items available at the Tandoor which is not normally available at traditional Tandoor

d. Competition

Traditional Tandoors some of whom might also be providing home delivery services in local area

Home delivery services providing delivery of Tandoor items